

2. See <http://www.curatedalpha.com/2011/curated-interview-with-ed-seykota-from-market-wizards/>.
3. There is significant positive auto-covariance between a security's excess future return and its past excess return.
4. Lo and MacKinlay (1988) had to wait almost two years to have their paper on technical trading rules accepted, despite the soundness of their research.
5. See Brock, Lakonishok, and LeBaron (1992), Lo and MacKinlay (1999), Lo, Mamaysky, and Wang (2000), Zhu and Zhou (2009), Han, Yang, and Zhou (2011), and Han and Zhou (2013).
6. See Schwager (2012), p. 137,
7. Antonacci (2011), second place winning paper, 2011 Wagner Awards.
8. One should calculate Sharpe ratios using average monthly returns and monthly standard deviations rather than annualized figures. Some use compound annual growth rates (CAGR) instead of average returns when calculating Sharpe ratios. This double counts the effect of volatility.
9. See "Right Tail Information in Financial Markets" by Xiao (2014).
10. See Zakamouline and Koekebakker (2009) or Bacon (2013).
11. There are many other reward-to-risk measures, such as the Omega ratio, Kappa 3 ratio, and Rachev ratio. See Bacon (2013) for an extensive list.
12. Trend-following methods often tend toward positive skewness.
13. See Gray and Vogel (2013).
14. Ibid.
15. Daily drawdown would, of course, be larger.

CHAPTER 8

1. Four momentum-based products available to the public make use of 12-month momentum. AQR Capital Management LLC,